



Figure 44.2 Horn tops with unusually tall price spikes. This horn exceeds the clearance of an earlier spike.

Breakout direction. The breakout is always downward from a horn top. A pattern having an upward breakout (a close above the top of the pattern instead of below the bottom of it) is not a horn top.

Confirmation. Confirmation occurs when price closes below the lowest low in the 3-week pattern. Only when that happens does the pattern become a valid horn top. Do not trade a horn top without confirmation because price might continue rising.

Focus on Failures

There are a variety of reasons why a particular chart pattern fails (and most of them go unknown). Some break out upward and never look back (and aren't horn tops by definition), whereas others see price begin moving down, falter, and then climb significantly. The latter case, the so-called 5% failures, happen most often with horn tops, but are still rare. Price fails to continue down by more than 5% before recovering and heading higher.